

Adam Smith's Wealth of Nations

The Division of Labour, the System of Natural Liberty, and the Birth of
Political Economy

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1 Introduction: The Project and Its System

An Inquiry into the Nature and Causes of the Wealth of Nations, published in 1776, is the founding work of economics as a systematic discipline and one of the most influential books ever written. It was the second great instalment of the larger project Adam Smith (1723–1790) had announced in *The Theory of Moral Sentiments*: a comprehensive science of human nature and society, of which moral philosophy was the first branch and political economy the second. Where the earlier book explained how moral order arises, unplanned, from the interactions of agents and spectators, the *Wealth of Nations* explains how economic order – the coordination of the labour and capital of millions of separate people into a productive whole – arises, equally unplanned, from the interactions of self-interested individuals exchanging in markets. The two works share one master idea: that large-scale social order is a spontaneous and unintended outcome of dispersed individual action governed by general rules, not the deliberate construction of any planner.

The book is at once a work of theory, a work of history, and a sustained polemic. Its theoretical aim is to explain the causes of the “wealth” of a nation, which Smith redefines, against the prevailing view, as the annual produce of its labour – the flow of goods and services available for consumption – rather than its stock of gold and silver. Its polemical aim is to demolish the reigning system of economic policy, the mercantile system, with its web of tariffs, prohibitions, monopolies, bounties, guild restrictions, and colonial controls, all of which Smith argues misdirect a nation’s resources for the benefit of particular interests at the expense of the whole. And its constructive aim is to set against that system an alternative, the “obvious and simple system of natural liberty,” in which individuals are left free to pursue their own advantage in their own way, within the bounds of justice, and the resulting competition channels their self-interest toward the general opulence more effectively than any government direction could.

The system of natural liberty: self-interest, coordinated by competition and exchange under justice, produces unintended public benefit

The unifying idea. Each individual, pursuing only personal advantage, is led by the logic of exchange and competition to do what serves others: to produce what others want, at the lowest price the market will allow, and to direct labour and

capital to where they are most valued. No one intends the resulting order – the matching of production to need, the gravitation of prices toward costs, the allocation of capital across industries – yet it emerges, unintentionally, from countless self-interested transactions, in the spirit of what later readers came to call the invisible hand, provided a framework of justice secures property and contract and competition is not blocked by monopoly or privilege. The role of the sovereign is not to direct this order but to maintain its preconditions; the recurring task of the book is to show, domain by domain, how decentralised self-interest under competition outperforms central direction, and where, exceptionally, it does not.

The work is organised into five Books. Book I analyses the division of labour, the origin of money, the theory of value and price, and the distribution of the produce among wages, profit, and rent. Book II treats capital – its nature, accumulation, and employment. Book III gives a historical account of why the progress of opulence took the course it did in different nations, and especially why post-Roman Europe inverted the natural order. Book IV is the great critique of the mercantile and agricultural systems of political economy. Book V treats the revenue and proper functions of the state – defence, justice, public works, education, taxation, and public debt. The sections that follow take them in turn.

2 The Division of Labour

The *Wealth of Nations* opens not with money or markets but with the source of productivity itself, and Smith places at the very front of his system the principle he regards as the greatest cause of improvement in the productive powers of labour: the division of labour. His illustration is the most famous passage in the history of economics, the manufacture of pins. A single untrained worker, performing every operation himself, could scarcely make one pin a day, and certainly not twenty. But the trade, as actually organised, divides the work into some eighteen distinct operations – drawing out the wire, straightening it, cutting it, pointing it, grinding the head, and so on – distributed among separate workers; and a small workshop of ten persons, so organised, can make upward of forty-eight thousand pins in a day, or several thousand each. The division of labour multiplies output by an order of magnitude.

Smith identifies three distinct sources of this gain. The first is the increase in the dexterity of each worker, who, by repeating one simple operation, acquires a facility no jack-of-all-trades could match. The second is the saving of the time ordinarily lost in passing from one kind of work to another, with its changes of tools and of mental posture. The third, and in the long run the most important, is the invention of machinery: a worker whose

whole attention is confined to a single simple task is far more likely to discover an easier and quicker way of performing it, so that specialisation is itself a source of mechanical innovation. Productivity grows because labour is specialised, and specialisation breeds both skill and invention.

Where does the division of labour come from? Not, Smith insists, from any far-sighted human wisdom that foresaw the opulence it would produce. It is the slow and gradual consequence of a particular propensity in human nature, “the propensity to truck, barter, and exchange one thing for another.” Because human beings, unlike animals, trade, each can specialise in producing one thing and obtain the rest by exchange; and because each can rely on exchange to supply his other wants, it pays each to specialise. From this propensity, operating over long stretches of time, the whole elaborate division of labour develops. Smith presses the point with a deliberately levelling observation: the striking difference of talents between, say, a philosopher and a common street porter is far less the cause of the division of labour than its effect, the product of habit, custom, and education acting on people not very different by nature. Specialisation makes the differences it appears to presuppose.

Finally, Smith states the principle that limits the whole process and that has proven among his most fertile: the division of labour is limited by the extent of the market. A worker can specialise narrowly only if there is a market large enough to absorb his specialised output and to supply, by exchange, all his other needs; in a tiny isolated village, every person must be a generalist. It follows that the division of labour, and with it productivity, advances furthest where markets are largest, and that anything which widens the market – above all cheap transport – promotes it. Smith accordingly emphasises water carriage, far cheaper than land carriage in the eighteenth century, as the great enlarger of markets, which is why commerce and industry first flourished along coasts and navigable rivers. The size of the accessible market sets the ceiling on how finely labour can be divided, and so on how rich a society can become.

The system of natural liberty: self-interest, coordinated by competition and exchange under justice, produces unintended public benefit

Domain: production. Self-interested behaviour: each person specialises in what he can produce best and obtains the rest by exchange. *Coordinating mechanism:* the propensity to truck and barter, operating in a market whose size sets the limit. *Unintended outcome:* an ever-finer division of labour that no one designed, multiplying productivity through dexterity, time saved, and invention – the original engine of national wealth.

3 Money, Value, and Price

Once labour is divided, every person lives by exchange and becomes, in Smith's phrase, in some measure a merchant. But barter is clumsy, requiring a double coincidence of wants, and to overcome it societies converge, again without anyone designing it, on a common medium of exchange. Smith traces the historical emergence of money: various commodities have served, but the precious metals everywhere prevailed because they are durable, divisible, and portable, and money arises as the universally accepted instrument that lets every exchange be split into a sale and a purchase. Money is the great wheel of circulation, a contrivance for facilitating exchange, not itself the wealth it circulates – a distinction on which the whole later critique of mercantilism depends.

Smith then turns to the deepest and most troublesome question of the book, the theory of value. He begins by distinguishing two senses of the word: value in use, the utility of an object, and value in exchange, the power of purchasing other goods that its possession conveys. The two can diverge sharply, as in the paradox he famously poses but does not solve: water has the greatest value in use yet almost no value in exchange, while a diamond has scarcely any use yet commands a great quantity of other goods in exchange. Having largely set value in use aside as not governing exchangeable value, Smith seeks the real measure of exchange value, and finds it in labour. Labour, he says, is the real measure of the exchangeable value of all commodities: what a thing is really worth to the person who wishes to acquire it is the toil and trouble of acquiring it, and the value of any good to its owner is the quantity of others' labour it enables him to command. In the "early and rude state of society," before land was appropriated and capital accumulated, the exchange ratio of goods is governed by the relative quantities of labour required to produce them – if it costs twice the labour to kill a beaver as a deer, one beaver exchanges for two deer.

Natural price and market price

In a developed economy the price of a commodity resolves, where all three enter, into three component parts corresponding to the three sources of revenue – the *wages* of the labour, the *profit* of the stock (capital) employed, and the *rent* of the land used – though some goods involve only wages and profit. The *natural price* is the price just sufficient to pay all three at their ordinary or "natural" rates – the long-run cost of production, including a normal profit. The *market price*, the price at which a good actually sells, is governed by the proportion between the quantity brought to market and the "effectual demand" (the demand of those willing to pay the natural price). Market price fluctuates around natural price and is continually drawn back to it by competition: if market price exceeds natural price, the extra profit attracts

new producers, supply rises, and the price falls; if it falls below, producers withdraw, supply contracts, and the price rises. The natural price is thus the "central price, to which the prices of all commodities are continually gravitating" – one of the founding ideas of price theory.

This gravitation of market price toward natural price through the free movement of labour and capital among employments is the first clear statement of the equilibrating mechanism that lies at the heart of economics. It is also where Smith's value theory becomes tangled, for he seems to hold at once a labour-embodied theory (value as labour required), a labour-commanded theory (value as labour the good can purchase), and a cost-of-production or "adding-up" theory (value as the sum of wages, profit, and rent). The tensions among these were inherited as problems by Ricardo and later by Marx and the Sraffian economists, and they are among the points on which Smith's economics was later judged to have been superseded. But the central practical idea – that competition drives prices toward costs, and reallocates resources accordingly – survived intact.

4 Wages, Profit, Rent, and the Three Classes

The three component parts of price are at the same time the three original sources of all revenue, and they accrue to three great classes: wages to those who live by labour, profit to those who live by the employment of stock, and rent to those who live by the ownership of land. Book I's analysis of how each is determined is also Smith's analysis of the class structure of commercial society and of the conflicts within it.

Wages are settled by a bargain between workers and masters whose interests are opposed, and Smith is unusually candid that the bargain is unequal. Masters are fewer, can combine more easily and often do, can hold out longer, and are favoured by the law, which historically permitted their combinations while forbidding the workers'. Yet Smith is no pessimist about wages. He argues that in a growing economy – one in which the demand for labour is continually increasing because capital is accumulating – wages rise well above bare subsistence, and he regards this with approval: the liberal reward of labour is both the natural symptom of increasing national wealth and a thing good in itself, since it is but equity that those who feed, clothe, and lodge the whole people should themselves be tolerably fed, clothed, and lodged. High wages, far from being a burden, increase the industry and productivity of the workforce. The wretched condition of labour is the mark of a stationary or declining society, not a progressive one.

Profit is the return to the owner of stock for the risk and trouble of employing it. Smith argues that the rate of profit tends to fall as capital accumulates and competition among capitals intensifies, since the increase of stock that raises wages by competition among

masters at the same time lowers profit by competition among their investments. He also observes, with some irony, that profit is the component of price that the men who receive it are most anxious to conceal and least inclined to discuss, and that high profits may do more to raise prices, and to corrupt the mercantile character, than high wages ever do.

Rent receives a distinctive and critical treatment. Rent is the price paid for the use of land, and Smith treats it as akin to a monopoly price or residual surplus – the most the tenant can afford to pay given the price of the produce, the landlord's share of what the land yields over and above the wages and profit needed to bring the produce to market. The crucial point, with large polemical consequences, is the direction of causation: rent enters into the price of produce in a way quite different from wages and profit. High or low wages and profit are the causes of high or low price; high or low rent is the effect of it. Because the price of corn is high, much rent can be paid for corn-land; it is not that high rent makes corn dear. Rent is a residual that landlords capture when the price of produce is high for other reasons, and this analysis quietly undercuts any claim that the landlord's interest dictates the level of prices.

From the analysis of the three revenues Smith draws a political conclusion that is among the most pointed in the book. The interest of the landlords and that of the labourers, he argues, are closely bound up with the general interest of society: both prosper when the society prospers and suffer when it declines. But the interest of the third order, the merchants and manufacturers who live by profit, is not so aligned. Their advantage often lies in narrowing competition and widening their market beyond what the public interest would warrant, for a monopoly raises their profits above the natural rate at the expense of everyone else. Smith ends Book I with a warning that any proposal of new law or regulation coming from this order ought to be examined with the most scrupulous and suspicious attention, since it comes from men whose interest is never exactly the same as the public's and who have generally both an interest to deceive and to oppress it. The merchant's self-interest is socially useful only so long as competition compels him to serve others to serve himself; his standing temptation is to escape competition, and against that temptation the public has a permanent interest.

The system of natural liberty: self-interest, coordinated by competition and exchange under justice, produces unintended public benefit

Domain: distribution and prices. Self-interested behaviour: labourers, capitalists, and landlords each press for the largest share, and capital moves toward the highest return. *Coordinating mechanism:* competition, which drives market price toward natural price and equalises returns across employments. *Unintended outcome:* a coherent structure of prices and an allocation of resources no one designed – though the mechanism works for the public only where competition is preserved, which is

why the self-interest of merchants seeking monopoly is the system's standing internal threat.

5 Capital, Accumulation, and Growth

Book II turns from the produce of labour to the stock, or capital, that sets labour to work, for the degree to which labour is divided and made productive depends on the quantity of capital that has been accumulated to support and equip it. Smith distinguishes the part of a person's stock reserved for immediate consumption from the part employed to yield a revenue, his capital, and divides capital into fixed capital – machines, buildings, improvements of land, the acquired and useful abilities of the inhabitants – which yields a return without changing hands, and circulating capital – money, materials, work in progress, and finished goods awaiting sale – which yields a return only by being parted with and replaced.

The central thesis of Book II concerns the source of accumulation, and it is stated with great force: capitals are increased by parsimony, and diminished by prodigality and misconduct. What is saved is not, Smith insists, withdrawn from use; it is immediately spent, but spent differently – invested in employing productive labour rather than consumed by unproductive consumption. The frugal man, by saving, adds to the fund that maintains productive workers and so to the future produce of the society; the prodigal, by consuming his capital, diminishes it. For Smith, saving normally becomes investment in productive labour rather than idle withdrawal from circulation, and the accumulation of capital through parsimony is the engine of economic growth. Every prodigal, he says memorably, is a public enemy, and every frugal man a public benefactor.

Bound up with this is Smith's controversial distinction between productive and unproductive labour. Productive labour is labour that fixes itself in a vendible commodity which lasts and can be exchanged – the labour of the manufacturer adds to the value of the materials and is realised in a saleable good. Unproductive labour, however honourable or necessary, produces nothing that lasts or can be sold: Smith places here the menial servant, and, more provocatively, the sovereign and all the officers of justice and war, the whole army and navy, and the professions of churchmen, lawyers, physicians, and men of letters, whose services perish in the moment of their performance. The distinction was meant to identify the labour whose support adds to the nation's capital, but it has not survived in modern economics, which counts services as fully productive.

Book II also contains Smith's treatment of money and banking. Money, the great wheel of circulation, is itself a costly instrument: the gold and silver that circulate a nation's goods are a portion of its capital that produces nothing directly. Well-regulated paper

money, by substituting cheap paper for expensive metal, frees that capital for productive use, and Smith likens the substitution to a kind of wagon-way through the air. But he is alert to the dangers: paper credit rests on confidence, over-issue and imprudent lending lead to crisis, and the collapse of an over-extended bank can ruin many – a lesson he drew from the spectacular failure of the Ayr Bank in 1772. He accordingly defends certain regulations of banking, an early and significant instance of his willingness to qualify natural liberty where systemic risk is involved: the obligation on banks to honour their notes, and restrictions on the issue of small-denomination notes, are interferences with natural liberty that he endorses, on the ground that the security of the whole society may require restraining the dangerous practices of a few.

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Domain: capital and growth. Self-interested behaviour: individuals save and seek the most profitable employment for their stock. *Coordinating mechanism:* the identity of saving and investment, which turns parsimony into the maintenance of productive labour, plus credit that economises on precious metals. *Unintended outcome:* the accumulation of the capital that deepens the division of labour and drives growth – subject to the proviso, which Smith accepts, that the systemic risks of banking may warrant regulation.

6 Institutions and the Progress of Opulence

Book III is the most historical and, in some ways, the most sociologically penetrating part of the work. Smith lays down what he takes to be the natural order in which a society's capital is invested as it grows wealthy: first in agriculture, which is nearest at hand and most secure; then in manufactures, which work up the surplus of agriculture; and last in foreign commerce, which disposes of the surplus of both. This is the order that the spontaneous preferences of individuals, left to themselves, would produce, because it follows the gradient of security and proximity.

Yet the actual history of post-Roman Europe inverted this natural order, developing foreign commerce and urban manufactures before improving its agriculture. Smith's explanation is a study in how bad institutions distort economic development. The fall of Rome and the establishment of feudal landholding concentrated land in a few hands and locked it there: the laws of primogeniture, which passed estates undivided to the eldest son, and entails, which forbade the sale or division of land across generations, prevented the breaking-up of great estates and discouraged improvement, since neither the great proprietor, secure and idle, nor the tenant at will, with no stake in the land, had reason

or means to improve it. Agriculture languished under institutions designed to preserve aristocratic power rather than to raise produce.

The most striking argument of Book III is Smith's account of how the towns, by the slow operation of commerce, undid the feudal order that the countryside could not reform from within. The growth of commerce and manufactures in the towns gave the great proprietors, for the first time, something to spend their surplus produce on other than the maintenance of retainers and dependants. Previously a great lord, with no luxuries to buy, had necessarily consumed his vast surplus by keeping a multitude of followers, who were therefore dependent on him and constituted his private army and the basis of his power. Once the towns offered diamonds, fine cloth, and "trinkets and baubles," the lords chose to exchange their surplus, and with it their power, for these gratifications, dismissing their retainers to pay for their finery. Thus, Smith says, for a pair of diamond buckles, or for something as frivolous and useless, they gradually bartered away their whole power and authority, and a revolution of the greatest importance to the public happiness was brought about by two different orders of people – the great proprietors and the merchants – who had not the least intention to serve the public, the one seeking the gratification of childish vanity, the other their own pecuniary interest. It is the purest example in all of Smith of his master theme: a profound institutional transformation, the dissolution of feudalism and the rise of orderly commercial government, produced as the wholly unintended consequence of self-interested action.

7 The Critique of Mercantilism and the Case for Free Trade

Book IV is the polemical heart of the *Wealth of Nations* and the most directly practical. Its target is the prevailing system of political economy, which Smith names the mercantile system, and which rested on a fundamental confusion: the identification of wealth with money, with gold and silver. From this confusion flowed the whole apparatus of mercantilist policy. If wealth is bullion, then a nation grows rich by accumulating bullion; and since a nation without gold mines can accumulate bullion only through a surplus of exports over imports, policy should aim at all costs to secure a favourable balance of trade – promoting exports by bounties and drawbacks, restraining imports by tariffs and prohibitions, and binding colonies to buy and sell only through the mother country.

Smith's refutation strikes at the root. Wealth, he reiterates, consists not in money but in the annual produce of land and labour, the goods that money merely circulates. Gold and silver are tools of commerce, and a nation can no more grow rich by piling up money it does not use than a household can by accumulating kitchen utensils it will never cook

with; surplus money flows abroad of its own accord to purchase goods, and the attempt to dam it up is both futile and pointless. The balance of trade is a chimera: in a free exchange both parties gain, since neither would trade unless it expected to, so that trade is not a contest in which one nation's gain is another's loss. Smith ridicules the spectacle of nations regarding the prosperity of their neighbours as a danger, when in truth a wealthy neighbour is a better customer.

The positive case for freedom of trade rests on the extension of the division of labour to nations. Just as it would be folly for a household to make at home what it could buy cheaper from a tradesman – the tailor does not make his own shoes but buys them from the shoemaker, and each is better off for specialising – so it is folly for a nation to produce at great expense what it could import more cheaply, devoting to a costly home industry resources that would yield more if directed to what the country does best. This is the doctrine of absolute advantage: a nation should import goods that foreigners can make more cheaply and export those it can make more cheaply itself. It was left to David Ricardo, a generation later, to show that the gains from trade are deeper still, arising from comparative and not merely absolute advantage; but Smith established the central liberating insight that trade is mutually enriching and that the mercantilist war of restrictions impoverishes all sides.

The invisible hand (Book IV)

The book's single most famous image appears in the argument against restraints on imports. The individual merchant, Smith argues, naturally prefers to employ his capital at home rather than abroad, because home investment is more secure and visible to him; and in directing his capital so as to produce the greatest value for himself, he is "led by an invisible hand to promote an end which was no part of his intention," namely the maximum annual revenue of the society. By pursuing his own interest he frequently promotes that of the society more effectually than when he really intends to promote it. The passage is hedged in ways often forgotten: it concerns the security-driven preference for home investment, it says "frequently" and not "always," and it appears only once in the whole work. Smith's claim is not that unregulated self-interest is always optimal, but that, within a framework of justice and competition, the self-directed employment of capital generally serves the public better than the schemes of statesmen who would direct it – and that the statesman who would tell private people how to employ their capital assumes an authority that can safely be trusted to no council or senate, and nowhere more dangerously than in the hands of one foolish enough to fancy himself fit to exercise it.

Smith is careful, and this is essential to a fair reading, to admit exceptions to the rule of free trade. He allows restraints where a particular industry is necessary to national

defence, defending the Navigation Acts on the ground that defence is of much more importance than opulence. He allows a tariff on a foreign good equal to a tax already laid on the same good produced at home, to keep the competition even. He concedes that retaliation may be justified when it is likely to bring a foreign government to remove its own restrictions, and that where a protected industry has grown large, free trade should be restored slowly and with reserve, to avoid throwing multitudes suddenly out of work. He is a principled but not a doctrinaire free-trader.

The remainder of Book IV applies the critique to the particular institutions of mercantilism: to bounties on exportation, especially the corn bounty, which he argues raise the money price of corn without benefiting the grower; to the whole colonial system, whose monopoly of the colony trade he analyses as a vast misallocation that enriches a narrow class of merchants while burdening the nation with the costs of empire and distorting its commerce, leading him to the radical suggestion that Britain would do better to grant the colonies their independence or a genuine union with representation than to bear the expense of holding them. He closes the Book with a respectful critique of the French physiocrats, the “agricultural system” of Quesnay, whom he credits with grasping that wealth lies in produce rather than money, but corrects for their error of treating only agricultural labour as productive. The conclusion of the whole is the statement of his alternative: once the mercantile and agricultural systems are cleared away, the obvious and simple system of natural liberty establishes itself of its own accord, every man being left perfectly free to pursue his own interest his own way so long as he does not violate the laws of justice, and the sovereign being discharged from a duty – that of superintending the industry of private people and directing it toward the employments most suitable to the public interest – in the attempt to perform which he must always be exposed to innumerable delusions, and for the proper performance of which no human wisdom or knowledge could ever be sufficient.

The system of natural liberty: self-interest, coordinated by competition and exchange under justice, produces unintended public benefit

Domain: foreign trade and policy. *Self-interested behaviour:* merchants seek the most profitable employment of capital, at home and abroad, and consumers buy where goods are cheapest. *Coordinating mechanism:* free exchange, domestic and international, extending the division of labour across nations. *Unintended outcome:* mutual enrichment through specialisation, and an allocation of national capital superior to anything the mercantilist statesman could design – subject to the explicit exceptions of defence, equalising taxes, retaliation, and gradual transition.

8 The Role of the State and Public Finance

It is a persistent error to read the *Wealth of Nations* as a brief for the minimal state, and Book V, the longest of the five, is the corrective. The “system of natural liberty” does not abolish the sovereign; it defines his proper functions and frees him from an improper one. Smith specifies three great duties that fall to the state and that cannot be left to private interest.

The three duties of the sovereign

First, the duty of *defence*: protecting the society from the violence and invasion of other societies, which in a commercial age requires a standing professional army, the division of labour applied to war. Second, the duty of *justice*: protecting, so far as possible, every member of the society from the injustice and oppression of every other, by establishing an exact administration of justice. Smith adds the candid observation that civil government, in so far as it is instituted for the security of property, is in reality instituted for the defence of those who have property against those who have none, for where there is great property there is great inequality, and the affluence of the few presupposes the indigence of the many. Third, the duty of erecting and maintaining those *public works and public institutions* which, though highly advantageous to a great society, are of such a nature that the profit could never repay the expense to any individual, and which therefore will not be provided by private interest left to itself.

This third duty is the most consequential and the most modern, for under it Smith brings what later economics would call public goods and the correction of certain market failures. It covers the infrastructure of commerce – the roads, bridges, canals, and harbours that facilitate trade but that no private person would build for the whole society – and it covers, strikingly, education. Smith argues that the state has a duty to provide for the instruction of the people, and his argument is rooted in his own most penetrating criticism of the commercial society he is describing. The same division of labour that is the source of national wealth has, he observes, a corrupting effect on the worker subjected to it. The man whose whole life is spent performing a few simple operations, with no occasion to exert his understanding or his invention, loses the habit of such exertion and becomes as stupid and ignorant as it is possible for a human creature to become, his mind mutilated, his judgment and his martial and civic spirit deadened, by the very efficiency that enriches the nation. Against this, the deliberate effect of an advanced economy on the great body of the people, the state must take pains by providing public education, so that the common people are not allowed to sink into the torpid stupidity that the division of labour would otherwise impose. This is a critique of commercial society from

within its founding text, and it shows how far Smith is from any complacent celebration of the market.

Smith's treatment of education is also a characteristic exercise in incentive analysis, applied here to teachers. He argues that the diligence of those who teach depends on whether their reward is tied to their performance, and he criticises the endowed universities of his day, where professors are paid from endowments regardless of whether they teach well or teach at all, for fostering negligence, contrasting them unfavourably with arrangements in which the teacher's income depends on attracting and satisfying students. The institutions of education are to be judged, like everything else, by the incentives they create.

The latter half of Book V treats taxation and public debt, and here Smith lays down the four maxims of taxation that remain a touchstone of public finance.

The four maxims of taxation

Equality: the subjects of a state ought to contribute toward the support of the government in proportion to their respective abilities, that is, in proportion to the revenue they enjoy under the state's protection. *Certainty:* the tax each person is bound to pay ought to be certain and not arbitrary – the time, manner, and amount plain and clear – since uncertainty invites the insolence and corruption of the tax-gatherer. *Convenience:* every tax ought to be levied at the time and in the manner most convenient for the contributor to pay. *Economy:* every tax ought to be contrived so as to take out of the pockets of the people as little as possible over and above what it brings into the public treasury, avoiding costly collection, the discouragement of industry, and the temptations to evasion that an ill-judged tax creates.

Smith surveys the various taxes – on rent, profit, wages, and consumable commodities – against these maxims, and concludes Book V with a sustained warning about public debt. The funding system, by which governments borrow against future taxes rather than pay as they go, allows them to wage war and to spend without the immediate pain that would otherwise restrain them; but the accumulating burden of perpetual debt, he argues, has progressively enfeebled every state that has adopted it, and threatens, if unchecked, to overwhelm the nation that contracts it. The book that founded the case for economic freedom ends, characteristically, with a sober warning about the fiscal recklessness of states.

9 Smith and the Caricature

Before turning to the modern criticism, it is worth drawing together a point that the foregoing has made repeatedly, because it conditions every fair assessment of the book: the Adam Smith of the *Wealth of Nations* is not the laissez-faire ideologue of later legend, nor the prophet of unregulated greed. The man who wrote the book also wrote *The Theory of Moral Sentiments* and never repudiated it; the self-interest on which his economics turns is the prudence that book had already certified as a virtue, exercised within the rules of justice, not a licence for rapacity. The book is, from end to end, as much an attack on the monopolies, guild restrictions, apprenticeship laws, settlement laws restricting the movement of labour, and colonial privileges of the eighteenth-century state as it is an attack on its tariffs; Smith's "free market" is one freed from the special privileges that the powerful had captured, and his deepest suspicion throughout is reserved not for government as such but for the merchants and manufacturers who would capture government to escape competition, and whose every meeting, he remarks, tends to end in a conspiracy against the public. He assigns the state the duties of defence, justice, infrastructure, and education; he endorses the regulation of banking against systemic risk; he favours taxation proportioned to ability and high wages for the poor; and he delivers the most quoted indictment of the human costs of industrial labour in the language. The system of natural liberty is a system of liberty under law and within an active, if limited, state, not the absence of the state. Holding this in view is the precondition of assessing the criticisms to which the work has been subjected.

10 Modern Criticism, and the Arguments on Each Side

No book in economics has been more criticised, in part because so much of the discipline grew up by correcting and extending it. The criticisms are best taken one by one, each stated with the argument that supports it and, where the matter is contested, the argument on the other side. Several of the apparent objections turn out, on inspection, to be objections to the caricature rather than to Smith.

10.1 The theory of value

The most clear-cut supersession concerns the theory of value. Smith's account oscillates among a labour-embodied, a labour-commanded, and a cost-of-production theory, and he could not solve the diamond–water paradox, having set value in use aside as irrelevant to exchange value. The supporting argument for the criticism is decisive on its own terms: the marginal revolution of the 1870s, in the work of Jevons, Menger, and Walras, showed

that exchange value is governed by marginal utility under scarcity, which dissolves the paradox at once – water is cheap not because it embodies little labour but because it is so abundant that the utility of the marginal unit is low, while the marginal diamond is dear because diamonds are scarce. On this account Smith’s labour theory is not merely incomplete but mistaken in its foundations, and it was abandoned by mainstream economics. The argument on the other side is more limited but real: Smith was chiefly interested in long-run natural price, the cost of production toward which competition drives market price, and the cost-of-production and surplus elements of his theory were developed by Ricardo and, in the twentieth century, by Piero Sraffa and the neo-Ricardian school into a coherent classical alternative to marginalism that remains a live, if minority, research tradition. The labour theory as a theory of relative prices is dead within mainstream economics; the analysis of competition driving price toward cost is permanent.

10.2 The invisible hand and welfare economics

The deepest modern reckoning concerns the invisible hand itself. Twentieth-century welfare economics gave the metaphor a precise formulation in the First Fundamental Theorem: a competitive equilibrium is Pareto efficient. But it also specified exactly the conditions under which the theorem holds, and thereby exposed how demanding they are – complete markets, no externalities, no public goods, no market power, no increasing returns, and well-informed agents. The supporting argument for the criticism is that none of these conditions holds generally, and that economics since has been substantially the study of their failure: externalities such as pollution and climate change, which markets do not price (the analysis of Pigou and of Coase); public goods, which markets under-supply; asymmetric information, where, as Akerlof, Spence, and Stiglitz showed, markets can unravel or fail to clear, and where Greenwald and Stiglitz proved that with incomplete markets and imperfect information competitive equilibrium is not even constrained Pareto efficient; natural monopoly and increasing returns; and coordination failures. On this reading the invisible hand is a special case, not a general law, and the presumption that free markets are efficient is unwarranted without the stringent assumptions. There is a sharp internal tension worth naming: Smith’s own central mechanism, the division of labour, is a source of increasing returns, and internal increasing returns are difficult to reconcile with the perfect-competition assumptions of the welfare theorem – a point pressed by Allyn Young in 1928 and revived in modern growth and trade theory. The argument on the other side is twofold. First, Smith never claimed universal optimality; the invisible hand is hedged, appears once, and is embedded in a book preoccupied with monopoly, privilege, and the cases where private interest and public interest diverge – so the welfare-theorem critique partly refutes a later formalisation rather than Smith. Second, even where Pareto efficiency fails, the deeper Smithian insight, developed by Hayek,

that decentralised markets coordinate dispersed knowledge that no central planner could assemble, retains its force as an argument about information and incentives, independent of the efficiency theorems. The invisible hand as a theorem about efficiency is heavily qualified; the invisible hand as an account of spontaneous coordination remains powerful.

10.3 Distribution, inequality, and exploitation

A third line of criticism concerns distribution. Smith's relative optimism that the progress of opulence raises the condition of all, including the labouring poor through high wages, has been challenged from the left as masking the systematic inequality and exploitation that commercial society produces. The supporting argument was made first and most powerfully by Marx, who took Smith's and Ricardo's labour theory and turned it into a theory of exploitation – the worker is paid the value of his labour-power but produces more, the surplus being appropriated as profit – and who radicalised Smith's own passage on the mutilation of the worker into a theory of alienation. In the modern form the argument is that growth does not automatically lift all boats: the gains of the division of labour and of capital accumulation accrue disproportionately to the owners of capital, and, as Thomas Piketty has argued from long-run data, when the rate of return on capital exceeds the growth rate of the economy, wealth concentrates and inequality rises without limit absent countervailing policy. The argument on the other side is that Smith is far less vulnerable here than the caricature suggests: he analysed commercial society as a structure of conflicting class interests, stated plainly that the bargaining power of masters exceeds that of workers, declared that government for the security of property is government of the rich against the poor, favoured high wages and a tax system proportioned to ability, and delivered the indictment of industrial labour that Marx later quoted. Smith is better read as an early analyst of distributional conflict than as a denier of it; the criticism lands against his successors' complacency more than against him.

10.4 Self-interest and behavioural economics

A fourth criticism targets the assumption of self-interest, which later economics distilled from the butcher–brewer–baker passage into *homo economicus*, the rational, self-interested maximiser. The supporting argument is that this model is empirically false: behavioural and experimental economics, in the work of Kahneman, Tversky, Thaler, and many others, has shown that people are boundedly rational, subject to systematic biases, and pervasively other-regarding – they exhibit fairness, reciprocity, and trust in laboratory games such as the ultimatum and public-goods games that a purely self-interested model cannot explain. The narrow self-interest reading is thus an inadequate foundation for economics. The argument on the other side is that this is largely a critique of a later caricature rather than of Smith, who grounded the *Wealth of Nations* in the moral

psychology of *The Theory of Moral Sentiments*, never held that human beings are purely selfish, and whose economic actor is a prudent, rule-following, reputation-conscious person embedded in social relations, not an asocial maximiser. The so-called Adam Smith Problem – the supposed contradiction between the sympathy of the one book and the self-interest of the other – is now generally regarded as a misreading: appealing to the baker’s self-interest is appealing to the prudence the moral theory already endorsed, exercised within the rules of justice. Behavioural economics, on this view, recovers a richer picture of human motivation that is closer to Smith’s own than the *homo economicus* it displaces.

10.5 Growth, productive labour, and increasing returns

A fifth criticism concerns the theory of growth. Smith’s distinction between productive and unproductive labour is rejected – services are productive – and his growth theory, which makes capital accumulation through parsimony the prime mover and foresees an eventual stationary state as profits fall, was superseded first by the neoclassical growth theory of Solow, which located the ultimate source of sustained growth in technological progress rather than mere accumulation, and then by the endogenous growth theory of Romer and Lucas, which models the production of ideas and human capital. The supporting argument is that Smith underweighted technological change and the economics of knowledge relative to capital accumulation. The argument on the other side is that Smith’s vision was in important respects ahead of the neoclassical mainstream that displaced it: his linkage of the division of labour to the extent of the market is a theory of increasing returns and of growth driven by specialisation and market size, neglected for a century but revived by Allyn Young and central to modern endogenous growth theory, the new economic geography, and the new trade theory of Paul Krugman. “Smithian growth” – growth through deepening specialisation as markets widen – is now a recognised category. Smith’s specific growth model is obsolete; his deepest growth intuition has been vindicated.

10.6 Trade theory

A sixth criticism is that Smith’s case for free trade rests on absolute advantage and is therefore incomplete. The supporting argument is that Ricardo’s principle of comparative advantage is the deeper and more general result, showing that two nations gain from trade even when one is absolutely more efficient at producing everything, provided their relative efficiencies differ – so that Smith’s argument, while correct as far as it goes, missed the central theorem of trade theory. A further, more recent qualification comes from the new trade theory, which, by incorporating increasing returns and imperfect competition, shows that under such conditions there can be a limited case for strategic trade policy, partially

reviving the infant-industry arguments that Smith largely dismissed. The argument on the other side is that Smith got the essential and liberating point right – that trade is mutually beneficial specialisation rather than a zero-sum contest, and that mercantilist restriction impoverishes – and that comparative advantage and the new trade theory refine and qualify this insight rather than overturn it. The free-trade conclusion is hedged in modern theory more than Smith hedged it, but its core survived.

10.7 The state, macroeconomics, and the limits of self-correction

A seventh criticism comes from the opposite direction to the laissez-faire reading. Smith’s framework is microeconomic and supply-side; it has no theory of aggregate demand, of involuntary unemployment, or of the business cycle, and it implicitly assumes that the economy tends toward the full employment of its resources. The supporting argument is the Keynesian one: markets do not reliably self-correct at full employment, demand failures can produce persistent mass unemployment, and the state has an indispensable macroeconomic stabilisation role that Smith’s framework cannot accommodate – to which the twentieth century added the welfare state and extensive regulation as responses to insecurity and market failure that go well beyond Smith’s three duties. The argument on the other side is that Smith never claimed otherwise and is better read as an institutional economist than as a market fundamentalist: he assigned the state defence, justice, infrastructure, and education, endorsed the regulation of banking against systemic risk, and was acutely alert to the failures that monopoly and business collusion produce. The Keynesian and welfare-state additions extend the catalogue of legitimate state functions; they do not contradict Smith’s own insistence that the market presupposes an active framework of public institutions and law.

10.8 Mercantilism, development, and industrial policy

An eighth criticism revisits Smith’s demolition of mercantilism. Revisionist economic historians and development economists have argued that Smith’s universal free-trade prescription understates the historical role of protection and state-led industrialisation: that Britain itself, the United States, Germany, and the East Asian economies industrialised behind tariffs and with active industrial policy, and that, as Friedrich List argued in the nineteenth century and as more recent writers such as Ha-Joon Chang have argued, the advanced economies “kicked away the ladder” by preaching free trade to latecomers after using protection to climb. The supporting argument is the historical record of catch-up growth under protection and the theoretical case for infant industries under increasing returns. The argument on the other side is that the gains-from-trade core is

robust, that protection carries large costs and is chronically captured by the very interests Smith warned against, and that the debate concerns exceptions and the sequencing of development rather than the central insight that open exchange enriches and that mercantilist restriction generally serves narrow interests at the public expense – a point Smith grounded precisely in the political economy of interest-group capture.

10.9 The ecological critique

A final and more recent line of criticism stands outside the original debate. Smith's framework, like classical economics generally, treats the natural environment as a free and inexhaustible input and treats the growth of produce as an unqualified good. The supporting argument, from ecological economics, is that this neglects the largest externalities of all – resource depletion and, above all, climate change – which the market does not price and which a single-minded pursuit of growth aggravates, so that the Smithian presumption in favour of expanding production requires fundamental qualification in an ecologically bounded world. This is more a critique of the tradition Smith founded than of the eighteenth-century text, but it bears on the contemporary authority of the system of natural liberty, and the standard reply – that the remedy is to price the externality and let markets adjust, in the spirit of Smith's own analysis of cases where private and public interest diverge – is itself a Smithian move that concedes the force of the objection while keeping the framework.

10.10 What survives

The *Wealth of Nations* created economics, and the discipline's two-and-a-half-century engagement with it has been a process of correcting its errors while building on its foundations. What has been superseded is specific and identifiable: the labour theory of value, the distinction between productive and unproductive labour, the accumulation-only theory of growth, and the limitation of the trade argument to absolute advantage. What has been heavily qualified is equally clear: the invisible hand, hedged by the welfare theorems and the economics of market failure; the case for unconditional free trade, qualified by comparative advantage, increasing returns, and the development debate; and the self-interest assumption, enriched by behavioural economics. What has been most persistently misread is Smith himself, cast as a prophet of unregulated markets by a tradition that overlooked his framework of justice, his catalogue of state duties, his hostility to monopoly and business capture, and his moral critique of industrial labour. And what survives, foundational and undiminished, is the core: the analysis of the division of labour and specialisation as the engine of productivity; the demonstration that decentralised markets coordinate dispersed activity through prices and competition; the identification of competition as the force that disciplines self-interest into public service

and of monopoly and privilege as its corruption; the gains from trade; the suspicion of producer interests bearing gifts to the legislature; and the conception of a productive order that emerges, unplanned, from individual action under the rule of law. The errors have been corrected by economists working with tools Smith did not possess, on problems Smith was the first to pose, in a discipline that he, more than anyone, founded.

11 Conclusion: The Shape of the Argument

The unity of the *Wealth of Nations* lies in a single, repeatedly applied demonstration: that within a framework of justice and competition, individuals pursuing their own advantage are led, without intending it, to produce an order more productive and more responsive to human wants than any that could be deliberately designed. The division of labour multiplies productivity but is limited by the extent of the market; money and prices coordinate the resulting exchanges; competition drives prices toward costs and capital toward its most productive uses; saving accumulates the capital that deepens specialisation; free trade extends the division of labour across nations; and the whole requires of the state not the direction of industry but the maintenance of its preconditions – defence, justice, public works, and education. The recurring lesson is that decentralised self-interest under competition outperforms central direction, and the recurring warning is that this holds only where competition is preserved against the monopolies and privileges that powerful private interests perpetually seek.

The verdict that two and a half centuries have returned is, like the verdict on the other great revisionary works, a discriminating one. Smith's particular theories of value, growth, and productive labour belong to the history of the subject; his invisible hand and his free trade have been bounded by the theory of market failure and the theory of comparative advantage and increasing returns; and the *laissez-faire* ideology fastened onto his name is a distortion of a thinker who assigned the state real and active duties and trusted business interests least of all. But the framework he built – the analysis of specialisation, markets, prices, competition, and spontaneous coordination, set within an institutional order of justice and law – founded a science and still organises it. The *Wealth of Nations* is read today not as a museum piece but as the first and in many ways still the governing statement of how a commercial society holds together, and its author remains, with all his errors corrected around him, the founder on whose terrain his critics and his heirs alike continue to work.

12 Suggested Primary Reading

The *Wealth of Nations* (1776; fifth edition, 1789, the last edition revised in Smith's lifetime) is long but can be read selectively with profit. Book I, chapters 1 to 3, on the division of labour and the extent of the market, and chapter 7, on natural and market price, are essential; chapters 8 to 11, on wages, profit, and rent, give the theory of distribution and the warning about the merchant interest. Book II, chapter 3, contains the doctrine of parsimony and accumulation. Book III is short and rewards reading whole for the account of how commerce dissolved feudalism. Book IV, chapter 2, holds the invisible-hand passage and the core case against import restraints, and chapter 9 states the system of natural liberty and the three duties of the sovereign. Book V, chapter 1, contains the duties of the state, the passage on the mutilation of the worker, and the case for public education, and chapter 2 gives the four maxims of taxation. The standard scholarly text is the Glasgow Edition, edited by R. H. Campbell, A. S. Skinner, and W. B. Todd, whose introduction is authoritative. The companion note on *The Theory of Moral Sentiments* should be read alongside, since the two works are branches of one project; among modern studies, the writings of D. D. Raphael and the intellectual biography by Ian Simpson Ross give reliable orientation, and Emma Rothschild's work situates Smith's economics within his wider moral and political thought.